The Certainty Premium: Whatâ€™s Driving the Tech Sector Divergence? | Jeff Keller

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis

The market currently operates under high long-term uncertainty, driving a significant premium for assets offering short-term certainty. While the AI adoption narrative is confirmed as an open-ended growth trajectory (similar to the newspaper industry) rather than a cyclical blow-off top, retail involvement and sector volatility signal increased risk of correction. Jeff Keller emphasizes that investors should prioritize long-term visibility (3+ year horizon) over short-term trading momentum, focusing on fundamental metrics like ARR and CapEx rather than speculative multiples or hype.

2. Key Arguments & Data

- **Market Environment:**
  - High long-term uncertainty creates a discount premium for short-term certainty; anything predictable is trading at a high price.
  - Heavy retail involvement in a trade (e.g., crypto, gold, software in Q3/2021) often precedes the end of that trade cycle.
  - S&P 11 Sector Performance (Q3 Start): Software and Services up ~20%; Technology Hardware/Equipment flat; Semiconductors down ~7.5%.
  - Tech sector underperformed Industrials and Utilities in terms of recent performance relative to the AI trade laggards.
- **Sector Analysis:**
  - **Software:** Diverged between Application Software (questioned due to low double-digit growth vs. high revenue multiples) and Cyber/Infra (performing well due to usage-based certainty).
  - **Cybersecurity:** Trading at high premiums (25-30x revenue); driven by fear of AI disruption threats; currently outperforming but remains a "paradigm shift" subject to TDA.
  - **Infrastructure:** Database and CDN players benefitting from software proliferation; usage-based revenue models favored in current market.

    - **Hyperscalers (Mag7):** Google reported $18.8B negative adjusted free cash flow (2026). Market views this as "optionality" purchase rather than ROI failure (capex to secure future dominance against 10 competitors vs. previous 3).
    - **Semiconductors:** Low multiple names outperforming high multiple ones (e.g., Nvidia) due to same cyclical drivers but different growth rates; priced in rosier futures than hardware leaders.
- **Valuation & Risk Factors:**
    - One-to-two quarter extrapolation is dangerous; 3-year visibility allows for better downside protection with decent earnings multiples.
    - Capital markets: Concerns about bond yields crowding out treasury markets; Silicon Valley leaders have raised $500B+ (e.g., Labs, SpaceX) and can self-fund buildouts despite credit tightening.
    - Fed Policy: Market expects hiking by end of 2026 but not with the severity of 2022 rates; rate sensitivity remains a concern for real businesses funding via debt.
    - **AI Feedback Loop:** Market reaction to partnership deals dampened compared to 2021 due to skepticism on sustainability of long-term profits (e.g., crypto miners converting to data centers).
- **Investment Strategy & Portfolio:**
    - **Long-Short Model:** Long-biased (>50% net exposure) with duration; benefits from capturing beta without penalty fees of neutral strategies.
    - **Leverage Preference:** Low leverage to avoid maxed-out positions during volatility (e.g., Korean margin calls in 2024).
    - **Tech vs. Speculative:** Dismissing the "2021 blow-off top" comparison as disingenuous; AI businesses have different fundamentals than SPACs/Arthos names.
    - **AI Tools Impact:** AI-generated content creates investor echo chambers and false fundamental confidence, increasing market inefficiencies faster than speed improvements in quantitative models.

3. Actionable Takeaways

- **Sector Picking:** Overweight infrastructure and cyber due to usage-based certainty and short-term revenue visibility; avoid speculative application software growth with high non-recurring revenue risks unless validated by disruption narratives (like the newspaper analogy).
- **Investment Horizon:** Focus on a 3-year horizon for technology valuations; resist 1-2 quarter trading based on technical catalysts as volatility often obscures fundamentals.
- **Risk Management:** Monitor sector-specific deleveraging signals (e.g., Korea margin calls) to identify contrarian buying opportunities during temporary panics or "information vacuums."
- **Portfolio Construction:** Maintain optionality (cash or lower gross exposure) rather than full leverage in volatile environments; avoid maxed positions during standard deviation events.
- **Metric Focus:** Prioritize ARR, adoption curves, CapEx levels, and forward compute prices over immediate stock price momentum or press release hype when evaluating AI leaders.
- **Hedge Against Uncertainty:** Acknowledge that market efficiency is decreasing due to retail involvement and AI-generated echo chambers; rely on bottom-up fundamental work rather than thematic momentum bets.

Full Transcript

in this market, long-term uncertainty is so high that anything with short-term certainty is trading at a huge premium. Whenever you get heavy retail involvement in any trade, that usually, in my experience, has meant that the clock is ticking for the end of that trade. There's been maybe a disconnect between the financial analysis of this and the religious analysis that maybe comes from the West Coast. There's gonna be a lot of pain, I think, if this ever rolls over, and I just don't think it's yet. Welcome to Other People's Money. I'm Max Weethy and I'm joined today by Jeff Keller, founder and portfolio manager of Cape Light Partners, a technology sector focused hedge fund that he's been running since 2021. Jeff, thank you so much for joining me today. Hey, thanks for having me, Max. Big fan of yours. You're about to be here. I'm a fan of yours. I've been really enjoying following along with Cape Light and everything that you've been doing. There were a lot of tech focused hedge funds that were birthed in 2021.

a lot of them sort of rode the tech sector up and then they rode it down in 2022. And so I think, you know, just seeing how well you navigated 2022 and the, the undulations that we've had in the tech sector has been something. It's been a pleasure to watch and observe from the outside. That's why I wanted to bring you on today because it does feel like since the start of Q3, we have had a bit of shift. I actually ran the numbers as of yesterday's close. So since the start of Q3, software and services are up 20%. Technology hardware and equipment are basically flat. But if you go down to semiconductors and semiconductor equipment, we're down 7.5% to start the quarter. Clearly a massive divergence from what we saw to start 2026. So what are you seeing and maybe a little bit about your background to give us the perspective that you're coming at from the tech sector?

My background is a little more operational. So I spent some time actually working at Salesforce and MongoDB, so a bit of a software background. And I think that maybe oriented me a little more towards the big themes, a longer term horizon, you know, looking for extreme dislocations in markets. I think you had in the beginning of this year, an extreme dislocation actually where the war in Iran was distracting everyone from what was just

massively inflecting adoption of AI. And that's been a long running story, but you really had the takeoff moment in Q1. Q2 was, I don't know that it was the blow off top for this trend, but you had 100% gain in stocks. You had retail get heavily involved. And so it's not surprising that that trend has chopped around a bit. And obviously we had situation awareness and deleveraging in Korea. So I think some of this volatility is, it's certainly obvious in hindsight. It's to be expected. I think we're still moving upwards on an S curve with regards to AI adoption.

you know, the bulls would say, hey, Apple services is still growing double digits today. Google search is still growing double digits today. Meta is growing in the 20s. And so, you know, you could have 10 to 15 years of double digit growth for some of these AI labs and and that'll lift all boats. So I think the volatility is to be expected. I think software was thrown out with the bathwater, obviously. And so some of that bounce makes sense. But, you know, if you zoom out, I don't think that late June was the end of this mega trend. I think this is just kind of normal volatility. And so within software obviously there was the big disruption narrative and it's hard to say whether that narrative has been disproven. I mean if you take like the analog of newspapers and how much the market was able to suss out.

the pain, the newspaper is going to go through before it actually showed up into earnings. So if you are in the disruption of software camp, it's really easy to point to examples like that and say, yeah, software looks strong now. We really haven't seen the disruption, but the results have been extremely strong. And so when you look at this rally, is it the market saying that software actually isn't as much at risk as maybe we felt at the beginning of the year? Or is it more technical in nature? Because Software shorts were paired with a lot of these AI longs and as much as the big deleveraging event has happened, de-grossing is still happening across the whole hedge fund complex. It's been, you know, entertaining to see socks and IGV basically have a negative one correlation. That does suggest that there's clearly a technical element to this that, you know, some bad news for AI leads into it and service now and Salesforce stocks to go up several percent. So that's an odd dynamic.

I think you split software kind of into application software on the one hand and sort of in front cyber on the other. You know, I think the application software obviously is still under question. I think a lot of what we've seen so far is just a recalibration from that sector training a premium to the rest of the market, being double digit growth for a decade now being maybe low double digit or high single digit in some cases. And once you get into that five to 15% growth area, you know it's really hard to to to trade on revenue multiples and non-gap EPS and and uh it's really hard to dream the dream so I think with um you know the sales force workday obviously we've seen an acquisition potentially of workday but um I think the initial sort of crash was kind of coming back down to earth and it wasn't actually pricing that AI was going to disrupt the entire business it was just these are low to moderate growers with a little bit left tail risk so I think that was somewhat rational. They bounced a little makes sense But you've really seen the bounce in cyber and infra and I think part of that is You know anything usage-based anything with the ability to accelerate I think in this market long-term uncertainty is is so high that Anything with short-term certainty is trading a huge premium And so people know that cyber numbers are gonna be good because people are rushing to build up their defenses with these new AI threats People know that infra can accelerate because you see more software adoption in general. You see at least some portion flowing to existing tools. I don't want to say I'm on bearish on that yet, but those multiples have come a long way. You're paying sort of 25, 30 times revenue for large companies. I think that the success rate on those is paying up there is low. Obviously the next couple quarters are going to be good.

But, you know, cyber is also not immune from disruption threats. It's a new paradigm. You know, you talk to folks at some of the AI labs and they think cyber is very much something that they will disrupt as well. So I think that's TBD. I think it's a lot of momentum and they're going to beat for a little bit as driven them up. But I think that's, you know, it's lofty territory that they're in more so than AI, frankly, I'd argue. The real AI winners are CrowdStrike and some like that rather than maybe some of the semis. So, so within the infrastructure, I mean, what are you talking about? Can you give me some examples of infrastructure and why those names haven't been under the same pressure as application? Yeah, I mean, you look at a company like MongoDB, where I used to work. So, you know, I'm biased,

but AI is clearly leading to a proliferation of software. People are creating either, you know, vibe coded apps, or they're just able to develop more efficiently within large organizations and.

Every software application has a database line underneath it. And so when you have an explosion of your end market, that's going to lead to an explosion in database software. And there's a question of how are these databases being selected? It's no longer a human. It's now various large language models. So it's not clear how the shift, the mixed shift works. But I think the view is a rising tide may lift that boat. That's an example of Mongo. Obviously, you know, you've seen some pick up with like CDNs or the Fastly's and Akamai, basically anything that can deliver computing resources that's driven on more compute flows through their numbers. I think that they've seen some uplift. And so things that are usage based, certainly in the short term, you can see a pretty quick spike. I think the long term is still more under question, but I think, I think infra, there's a higher chance of beating than there is in a Salesforce or, you know, Wix or.

Something that's a little bit less likely to really blow up numbers in the short term. It sounds like you're not concerned so much with market share, right? Like a lot of times with these more mature sectors, it's all about like who's winning within the sector and Do you think that within tech it it's less about those types of bets and more about where is the pie growing? Like is this a relative? a relative betting market where you're really trying to pick winners between these competitors, or you're just trying to see where is the wind at their backs. Ultimately, the work that I think one has to do is bottoms up and company driven and who the winners are. But I think in technology, a lot more money gets made being in the correct major theme than it does picking within those themes. If you were 10 years ago aware that cloud software was taking share and there was a big migration of the cloud, You know certainly there were certain names that were better to buy but for a while there it was more importantly to be in the sector. I think that's what we've seen with AI and you start to get dispersion but early on I think it's it's much more thematic it's much more sector driven and over time as as the you know open-ended growth story slows down then it starts to be about more dispersion. I think we actually have a little bit of that with AI where I mean it's still a pretty open-ended growth story but you've had huge pull the

numbers now are sort of GDP scale. And so I think you're starting to see a lot more dispersion where it does matter who has more sustainability rather than just this rising tide in the short term is going to lift everyone. Well, let's talk about that dispersion a little bit. I'm sure obviously you have this software background, but if you're a tech focused investor, you probably have some exposure to some of these AI themes. I mean, post shake out with what you have seen from the market. Where do you think investors should be within the big AI trades. I mean, I also ran the numbers on just the S&P 11 sectors. And technology came in third. The only things that were worse were industrials and utilities, which were really thrown into the AI trade. So that has been the laggard coming out of the bounce in the market. So where do you think if people still want to be exposed to AI, they should be looking?

I guess I'll start maybe with a negative. I think one risk is to always extrapolate a very short term dynamic. I think you're seeing a little bit of that with the pricing of compute, certainly maybe with neoclouds. Obviously Elon is entering that space. So I do think that I think there's a little bit of a risk that this very short term, extremely high price of compute, Elon might move us quicker to the glut. So I think that extrapolating that is a risk. The other thing is it's funny that of all these various you know whether they're bottlenecks or or semiconductor companies they trade on the same factor and they trade on basically hyperscalar capex and the AR of the laps like they need the same underlying drivers and they trade at hugely different multiples I think Gavin Baker's made this point which makes sense you know actually um you've got a lot of sort of behind the meter you've got some some services companies that are trading at pretty high multiples on out your numbers and then frankly you have things like Nvidia and micron and the well-known names that are really not extrapolating in fact they're telling you we're at peak and so you know maybe it's a little contrarian but I I think it's likely that the low multiple names across the AI trade in general are going to do better even if they're at different cycles of earnings growth but it's all driven by the same factor there's little micro cycles within each but you know I think that a lot of the semis are not extrapolating as much as some of the kind of more creative, whether it's behind the meter, some services, highly cyclical businesses, kind of hidden AI winners that people have piled into. Those, I think, are pricing in a rosier

future than actually a lot of semis. And, you know, valuation is so different, as you said, across this. How are you thinking about what is or isn't cheap? How far out are you looking that you feel confident on earnings? Are you valuing these things off of 27, 28? And then.

You know, between software, hardware rate, you're just talking about very different multiples. How are you thinking about valuation across tech right now? It's a good question. I mean, it's funny to think about how many people, myself included, you know, we'll talk about four or five year projections and you think back four or five years ago and just completely different things we were talking about five years ago as NFTs and SPACs and the metaverse and AI was not on the radar. I think there's a big risk with valuation. I'm contradicting myself a little bit earlier, but where a lot of these are highly cyclical businesses, they're obviously trading at, maybe it's not peak earnings, but massively inflated earnings. You have a new profile investor. You have a lot more growth investors and tech investors. And so, multiple can be dangerous, even though I think that the multiple, there's some that have, there's extreme dispersion and there's some that are very cheap. Just relying on multiple can be very dangerous because there's high cyclicality here that a lot of tech investors are not used to.

But I think, you know, if you have good visibility into three years, you know, beyond that is just hard to forecast in technology. Again, you look back to five years ago, very hard to predict what we're doing now. And so I think there's, you know, if you've got three year visibility in the stocks and valuation, you can do well. I think there's a very high premium on one to two quarters. I think that, you know, that's a different game that I try to play, but it's generally a two to three year, you know, through cycle earnings multiple with decent downside protection. Okay, but as you said earlier, you think there is a premium on that certainty right now in the coming quarters. So as a portfolio manager, how are you sort of bridging the fact that you like to take a bit more of a long-term view with knowing that the market is really rewarding short-term certainty and short-term growth? That's the beauty of the long short model is you can obviously, you can bet on both sides of the book, you can try to isolate some of these factors.

you know maybe it's anecdotal but I think that the time horizons of people that I talked to is probably shorter than I can remember again I've been doing this for 20 years but you know I've never heard sort of more conversations about what's the catalyst path and you know who's going to beat sell side consensus numbers and you know whenever you see people that are that short term I think you can you can take a look a little bit longer I think it's you know it's never as easy as simply this company's going to beat earnings for the next quarter, even though it works like that. Sometimes I think there's got to be a longer thesis. So shorting is a dangerous game. You've got to have awareness of how much people can extrapolate, how juicy some of these near-term imbalances can get. But I think if you have a couple a year or two of horizon, then you can sort of look at these and say, OK, where are people extrapolating? And where can I sit and wait? And I think that's a pretty good opportunity.

So you're talking about that earnings feedback loop, right? One of the other interesting factors from earlier this year that it felt different to me was you had a feedback mechanism with a lot of these. partnerships, deals, they were catalysts really outside of earnings. You know, one semiconductor company would make a deal with Nvidia and the stock would rip 10, 20%. We're still seeing those big sorts of deals, right? Somebody would announce, you know, a huge bond offering to fund CAPEX or some other sort of build out and, you know, the presumed receivers of that. of that capital would rally. We're still seeing those sorts of announcements, but we're not seeing that feedback loop in terms of the market's reaction. I mean, what is that telling you that this feedback loop has really dampened its effect? There's certainly a lot more sobriety in the trade. I think there's a lot of 1990s parallels. Obviously, I was not invested at the time, but it's funny to even compare it to 2021. The euphoria was multiples higher in 2021 than it is now, which is interesting because I think we have a much more bankable long-term technology trend. So I think the sobriety in a way is encouraging. I think to your point about the lower reactions to some of these announcements, I think that there's a lot of announcements where the economics are unclear, especially think about with data centers. You know, this company is leasing from that company. You know, we don't know who's on the hook for extra costs. We don't know what happens if there's a delay. And so We've gone through this phase where any association with a year

goes open AI this first half of this year any associate Association with the anthropic was gold and I think there's definitely a lot more scrutiny to say Are you actually going to be generating sustainable long-term profits from this? I think you've seen that with you know the crypto miners Converting it to data centers euphoria has totally come off there. I think there's concerns so But now it wins but now Bitcoin's ripping and they're ripping along with it, too So they get the best of both worlds Yeah, exactly. They might have to shut down the data centers and go back to Bitcoin mining. No, I think you're right. There's more sobriety. I think it's another point where it actually makes me a little more bullish. You'd rather be an environment where you have to sit and earn the returns than one where you get stocks moving 20%, 30% on press releases. So I think it's better to have a longer, slower cycle, especially as a sort of A manager of investments because it's much easier to stay with things that compound over time than it is with stocks that go up twenty fifty percent on press releases. I think it's also giving an interesting picture into some of the newer holders of these names right on you know if you go type in a ticker on X your favorite tech ticker that just had one of these big announcements and the stock hasn't moved.

you're gonna see a lot of commentary from retail sort of like cheering on the deal, right? Cheering on that deal and wondering why am I not getting the 20% pop that I got when this type of deal was announced three to six months ago. And so I'm just wondering how you're thinking about the holder bases and the way things, the new participants who have been coming into this trade. One of the things you want to be cautious of is whenever you get heavy retail involvement in any trade, that usually, in my experience, has meant that the clock is ticking for the end of that trade. Now, I'm not saying that I think the AI trade is over, but you saw it with gold and silver in the beginning of this year. You've obviously seen it with crypto. We saw it at one point with software, certainly in 2020 and 2021, when people would be launching paid newsletters, writing about...

MongoDB and Elastic and and all these companies were it was it was you know fastly Fastly exactly. Yeah. And so I think there's there's reason to be cautious there I think for sure that you have these you know boring hardware companies for ten years that are now all the rage among retail investors I think that's that's certainly dangerous, but the flip side is again

This I think has a lot more legs. It's got a lot more of an open-ended growth story. You know one thing I've learned is shorting an open-ended growth story can be deadly because there's no catalyst. There's no end to the story. You know, you might get a data point that's helpful in your direction being negative, but it's really hard to put a nail in the coffin on an open-ended growth story. And, you know, AI is a good open-ended growth story. I think it's a real one. You might have some hiccups, but in general, adoption is moving up the S-curve where CapEx is going up. I think that's the case for a number of years. And so...

I think that's what differentiates this and makes me feel that, you know, this is not a 2022 environment. It's not like June was the blow off top and we're going to be, you know, semiconductors are going to be bleeding for years. I think that this couple months is a little bit more of an information vacuum. People are latching on to every ARR leak of AnthropaGrow up in AI. I think that'll get clearer when they become public. I think it's good. I think it's good to clean out some of the leverage. I think it's healthy in general. I don't know that we're going to rip to all-time highs, but I certainly like short selling. I'm not piling into shorting AI here. We've made a few analogies back to 21. You just talked about 22. We had this huge deleveraging event around situational awareness. In 21, it was Archegos and it was a lot of the Cathie Wood arc names. To compare...

those stocks and their businesses to what we're seeing from AI is completely disingenuous. So let me just start by saying the fundamental case for these AI stocks compared to the speculative case that was being made for a lot of those names in 2021 is completely different. With that being said, the market loves to extract as much pain as it possibly can. And that deleveraging event in 21 really did mark the top of the arc names. The market continued to power higher until inflation concerns really started to take everything down besides energy in 2022. And we had that rising rate environment. And so I just wonder how you think about just the technical factors that we're talking about here and that, you know, as strong as the open-ended cases that we could still see a scenario where the market moves higher. A lot of these other themes like software that are continuing to have strong earnings, so many sectors are starting to participate in the bull market. Is there just a little bit more pain to come for the tourist

semiconductor investor before we start to see the market turn back to the fundamentals?

I think the twenty twenty one analogy is interesting. I might quibble with it in a few a few areas. I think you're right that it was sort of blow off top retail involvement and it took a while to get through that pain. There's a lot of you know ironic similarities to just incredibly leveraged hedge funds driving up a few of these stocks. I think you know even in twenty twenty one stocks like Tesla software eventually kind of hit their peak in late twenty one so they they recovered the quote unquote real businesses. did okay even if the SPACs and the game stops and whatever may have been sort of cratered around Q1 of 21 as you mentioned. So ultimately I do think it was inflation higher rates that did a lot of the damage in 2022 for the real businesses. And we're coming from I think arguably more indefensible multiples back then 50 times revenue on software when clearly software had gone through a pandemic pull forward for cloud adoption.

Today obviously there's some people forward. I think there's more legs to it. I think the multiples are actually more reasonable And so I think that there's interesting analogies. I don't think that this trade will break until you start to see adoption slowing I think right now the reason the market kind of gets nervous about ARR metrics or whatever is that's the best indicator we have is anthropic ARR open AI or ARR open source Whatever may be but as long as in general the complex is seen more adoption which it is right now and it's explosive You know, I don't think you want to short them and are they going to rip again, unclear, but I think there's still a lot of open-ended growth in this story. And so that's where it's different, I think, than 21. Now, it's another one of those sort of rhyming but not matching perfectly. Obviously, there is some debate about if and when the Fed might hike rates. We're probably going to get something.

in the next few months, whether it's the next meeting or not, the market is pricing that in with near certainty, but that by the end of 26, we're going to get something. But it's not going to look like 22. We're not going to come off the zero bound up to the level of interest rates that we saw. That was obviously a huge, huge hiking cycle. But we're seeing fiscal concerns come into play. arguably those real businesses that were hurt by rising interest

rates are more rate sensitive now than they were then. We're seeing a lot of this spending funded via the credit markets to the point that they've even commented that it's crowding out the treasury market, the biggest market in the world. And so I just wonder how you feel about the rising long-end bond yields and that everybody seems really focused on whether the Fed is going to hike, but the market is pushing.

you know, financial tightening much more so than monetary policy is. And do you have concern about the ability for these companies to continue to raise if we have rates at this level at the long end of the curve? It's definitely a concern. Far greater minds than me have spent a lot of time trying to, you know, figure out which way the bond market's going to go. So I won't forecast what's going to happen to rates. You know, certainly we've seen a number of kind of these bond freakouts and rates go up and then they come back down. Who knows if this time is different? It's certainly possible that two months from now, you know, the 10 year is down 30 or 40 basis points for whatever reason. And, you know, we have less capital concerns than we do right now. But for sure, when you look at it now, I mean, this is a, it's a capital crunch in the sense that you're talking about hundreds of billions, pretty soon near trillions of what used to be buybacks now, now actually going away and also requiring debt issuance. You know, my view is I understand It's a concern. This is a more dangerous way to finance this build out. I'm not that worried about it, frankly. You know, especially after the anthropic IPO, these major, the labs and SpaceX and Google will have raised about 500 billion year to date. And the markets are fine. A lot more in debt as well, or maybe not more, but a lot of debt as well. And markets are broadly okay. I think the cash these companies are still growing top lines, double digits, 20s for some.

Frankly, I think there's probably more cost base they could take out if it ever got so bad. You know, these are companies that employ tens of thousands of people. They did it in 2022. So I think that there's still enough room to fund the build out. I think capital markets are more volatile and subject to euphoria and fear. So you don't want to go through periods of the markets shutting down. But I think they've generally been open. The market's taken in stride so far. And the other thing is the way that these people that Silicon Valley leaders think about this as they view this as existential. This is

essentially the greatest race of their career. This is the pinnacle. You see Sergey and Larry coming back to Google to work on this. You see Elon basically pivoting all of his attention to building data centers. You know, this is the big one. And if they need to borrow at 150 bits higher than they thought they did, and it ends up in aggregate being whatever that math is, big dollars, 10, 20 billion dollars more a year, I don't think that's going to slow them down.

I think there's been maybe a disconnect between the financial analysis of this and the religious analysis that maybe comes from the West Coast. And I grew up on the West Coast, so I like to think I can do a little both. But I don't think they're slowing down. I think the credit markets might try to slow them down. But unless we see yields really blowing out, I think there'll be enough money to fund it for a couple of years. And if they're wrong, and the ROI never materializes, we'll have a problem. But I think their bet is in a couple of years, it'll be obvious that this is a transformative technology. you know, a few extra bips of borrowing costs is not going to slow us down. Now, what do you think about, you know, obviously we saw Google report its first negative free cash flow quarter. Like, is that coming for the rest of the hyperscalers? And how do you think markets are going to think about, you know, the MAG7 and the hyperscaler names that, you know, have, they were the market leaders. They are definitively not the market leaders right now.

Like, is that trade of just buy the big mega cap tech companies? Do you think that's over? Not to say that they won't keep up with the market, but that it's not going to be the easy trade to outperformance. I think so. I mean, you know, I own some of them. The stocks, I think, are reasonably cheap. I think it's just a very different profile than it was over the number of years. You know, Amazon. You can check me on this, but it's probably up something like 10x since 2016 or 2017 I mean you made extreme returns in owning the most well-known companies in the world Can you still make 15 to 20 percent a year or or whatever may be from here? Absolutely, but I do think you're right that the profile of return that people associate with these companies I think is is probably behind us. I think also, you know the hyperscalar model which drove a lot of the performance of the Mag7. I mean, obviously not Apple and not Meta, but the other three were a lot of it

was cloud business. You know, that market has dramatically changed from basically three vendors with, you know, thousands of customers to now there's probably nine or 10 scaled providers of compute. You include Oracle and SpaceX and the labs who are procuring directly and the Neoclouds and CoreWeave and Nebius at least. So you have a market that went from maybe three to 10.

They still have scale advantages, but you have fewer customers. So I understand why those stocks are not trading at higher multiples given their growth. I think there's a lot more uncertainty. There's more competition. And you've got a little bit of the law of large numbers here, just where you're talking about, again, GDP level, market caps and profits and whatever. So to be able to get. You know two five ten X returns on those I think that was a golden period over the last five to seven years But I think you're right that that's over but doesn't mean they can't still be good risk rewards. It's just a different profile now I just pulled up Google's, you know adjusted free cash flow estimates, you know and looking at annual numbers here and it's like 27 so it's like negative 18.8 billion in free cash flow and then 28.5 positive free cash flow in 28 I mean, does that presuppose like too much certainty on the return on this capex? Like, do you think that the path to return on the spend is that clear and that immediate? Or are these firms really betting on five, 10 years out? That growth that we said is really hard to predict. It is. I mean, I think there's a lot of focus on what's the ROI of this investment. And there's obviously many opinions. The way I think about it is, you know, it's almost like buying an option. It is existential if you don't play this game and it wipes out your business. So you have to play. So it's a defensive option, number one. Number two, it's an offensive option because you see it in the cloud numbers. There's other ways that you can generate new products. I mean, there's just sort of this open-ended upside that maybe if we become the leading provider of compute, then...

Whatever maybe there's open ended upside. So it's really an optionality thing and I think the way they've talked I think Microsoft talked about this in the latest call Maybe it was one of the other hypers, but you know, you can structure this where you're buying powered you're buying powered shells You're not filling it with the chips yet You're essentially buying a couple years of optionality where if you need to you can ramp up a lot of

capacity really quickly So that all makes sense to buy that option now if the ROI on that option is low, but positive I think that's still a good investment for them. People think about this as a concrete. You put 1,000 into the ground. What are you getting out of it? I think of it as you got to put 1,000 into the ground because if you don't, you might lose your whole business. You got to put it in because it might be this open-ended upside. And I don't know if it's going to pay you back 15. And frankly, I'm okay, actually. Shareholders might not like it, but it's rational to do it even at lower returns because the alternative is too risky. So I think that has a couple of implications. One is.

We don't know what the ROIC is, but I think they're gonna keep spending because of this need to accumulate options number two It might not be great for shareholders because if the ROIC is only like four or five percent That's not great. It's kind of a waste capital, but it's not it's not incinerating capital But I think the main takeaway is they're gonna keep spending because the risk to stopping I think are much greater than The optionality you buy by at least continuing to stay in the game. So I think it's very hard to pin down the ROIC. I think it's pretty good which you can calculate in a number of different ways either through numbers right now or just sort of anecdotally about the profits that are flowing through the chain. But I think it's actually more driven by basically the need to maintain optionality than it is near-term ROI.

Going back to what you said about the market is really rewarding short-term certainty right now You could argue that the reason that the hyperscalers have not participated is the uncertainty around that ROIC when I look at Estimates at least for you know Google's free cash flows, you know It says to me that the the confidence people have in those those free cash flows turning around in 2028 seems to me that that They're willing to at least with the range of outcomes say hey, we're gonna start to get some return on this spend two years out from now But what if 2027 comes around and we're not getting that visibility into 28 into this ROIC and It's not that it's negative. It's not that it's going to be overwhelmingly positive. We just don't really know yet what the the return is going to be. Do you think that that uncertainty is going to cause continued problems for the hyperscalers? Yeah, I think it's a good question. I think there is a world

where to the point earlier, you know, this used to be a three horse business and now it's it's eight, nine or 10. You know, the ROI where the profits flow in this chain is not clear. You have anthropic and open AI building a lot of their own.

power and data centers not enough but but they're they're moving that direction so I think that is why you know I remember two years ago everyone was praying that AWS would grow like 18% and it's now growing 40s and stocks incrementally higher but not materially so given sort of what we would have thought about a 40% growth two years ago so I do think that there is a decent amount of queasiness on the ROI I think there's also queasiness on the sustainability of growth because it's so concentrated in customers so You've seen it where meta meta's kind of on the ropes with it I think the market and I think a lot of people say the hyperscalar ROI is still positive and Andy Jassy laid out well And I think people are on board with that for now, but you're right that that can change quickly I think sometimes we overestimate how sensitive these execs are to the stock price Again to the point of religious zeal like certainly that they don't want their stock price going down, but you know it it took a long time before in 2022 before Metta started making cuts and that sort of thing. So I think it's got to be, could they go down 10, 20%? Everyone thinks it's a bear market for sure. I don't know that that would cause them to flinch. And is the ROI so bad that the stock would go down more than that? I don't think so. So I struggle to see the stock market forcing them to stop CapEx because in my view, the ROIC is good enough that the stocks will never get so cheap that they change course. But that is the question.

I mean, Zuck is a different animal when it comes to his ability to withstand the share price pain. But I do want to open up the can on meta a little bit. I mean, there are so many bare arguments for meta. There was at the point when they were sort of saying like we're building out all of this compute capacity, we're buying it up, but we're not going to sell it. It's for our own uses. And they were really being punished for that when they sort of indicated that if they had overbought that they would sell it out, the market really rewarded them. And it has perplexed me, and it might go to the short-termism that you were seeing in markets, but I'm like, if Mark Zuckerberg can't figure out what to do with the compute, that seems to me to be just like

a bear case for AI technology in general. I mean, what do you think about this bear argument for meta that they haven't defined so much what all of this compute is gonna be used for?

I do think it would be a little short-sighted of them to rent out the excess compute. I think the reason they made this messaging is they want the market to give them rope, and so they need to signal like, look, we understand your concerns and we will stop or release the capacity we have if need be. Now, if you do one of these three-month contracts, you can earn a couple billion dollars in profits, and that would be helpful to Metta, but it's much more about the signaling to investors than people on a trillion dollar plus company getting excited about. you know one year supply demand on a portion of your capacity so I don't think it's gonna move the needle for the business I think it's more almost telling investors look we get it and we will stop if need be we will release our capacity of need be I might disagree a little bit that you know meta they've had a lot of internal dynamics hiring a new team you know they were originally open source focus they've bounced around a lot I think in general there's always winners and losers within the AI, the foundational models, I think as long as the aggregate is making progress, that's more relevant to the broader AI trade. I think that's still the case. I think Meta has, you know, more of its issues. I think Zuckerberg, you know, there's a great quote in, in Sebastian Malby's book on, on Demesis Abbas about basically him asking Zuckerberg about AI as well as various other tech trends. And Zuckerberg was equally enthusiastic about AI and crypto and NFTs and all this stuff. And Zuckerberg, Far richer than I am far more successful But he has a tendency to you know go big on tech trends that it's not really obvious that he needs to do that for the core business I think as a shareholder you have to be you have to believe in him for that. I think that's just a tough That's a it's a more binary question as a shareholder. It's not it's not one I can underwrite And so but I also don't think that their troubles are necessarily reflective of broader AI troubles well to me I'm just saying like It's funny the people who are super bullish on AI, right? But then they're bearish on meta because meta doesn't have a plan. I'm like, well, there really isn't a plan at the corporate level for a lot of companies. And if you talk to the teams that are sort of trying out AI, I mean, it's difficult. It's difficult to go to senior management

and say, yeah, we want to bring on this technology that the bull cases, we all get fired, right? Like the actual adoption at the corporate level.

how that's going to look is still a huge concern. And so I just don't see how you could hold both views in your head at the same time that you're like, I'm super bullish on AI. It's going to change the way that that we work. Compute is going to be the new oil. But at the same time, like, Zuck is overbuilding or, you know, like, it's a good point. I think that is Zuckerberg's view as well, which is basically, you know, hey, more believers in AI, we're building this compute. Don't worry about it because we can We can sublease it. We can do whatever we need to do again to the point about sort of acquiring optionality It's not totally Irrational for them to do. I actually think it's actually quite rational. They're the biggest spender They're relatively the biggest spender they get the most questions, but I Understand his concept of like this is existential to my business. It might be huge upside It's not obvious yet I need to keep playing the game and I need my investors to give me rope and so I need to tell those investors look I'm I'm playing this game and I will back off if need to, but I'm not backing off yet. I think that's actually a rational strategy, even though public markets will whip your stock around. Well, I want to shift a little bit from the analysis of the facts right now to what it means.

for you as an investor, as a portfolio manager. So, you know, you have the ability to go long and short. What does the book look like right now? I know that you are very focused on the micro and the individual companies. We have to stay away from that a little bit. But in terms of the places where you're carrying a bit more exposure to these themes and the places where you're sort of betting against them. You want to be in the big themes. I think I have a little of an extraneous streak. You know, there's a lot of headwinds about the politics around data centers. I think in general, that is an overstated concern. I understand why there's concern. I understand why these people are upset about data centers midterms are coming around. I think there's, you know, there's a lot of stocks that are basically implying that data center starts are going to be challenged, whether that's labor, whether that's some of these, some of the sites that that are actually applying for power. I think that that is unlikely. I think that's probably short

term. I think that you look past the midterms, whether certain states are going to sort of put moratoriums in place or not.

I think they're going to get built. We've seen various technology moral panics over time and usually the market is strong enough. So I think that's one area where I'm looking at things that are pricing into deceleration and data center stars. I think there's actually some legs there. You know, I'm always wary of extrapolation. I think, you know, anywhere that there's high near term certainty, I'm looking a little more contrarian and saying, you know, eventually you come on the back slope of those of those little mini cycles and extrapolation. So I think data center starts look good. I think there's a lot of idiosyncratic growth stories that have been kind of left for dead, you know, things like e-commerce, some recent IPOs. I mean, nobody's talking about those anymore. It's all guy software is software dead. Is it not? So I think that there are kind of some independent stories, growth oriented, stand on their own legs that are that are pretty compelling because, you know, they used to be bid up to high multiples. And I think they're not as attractive given there's other exciting areas. Now, you know, a bit about just.

your philosophy on the portfolio, right? So you said you want to have these themes your long short, right? Long short means a lot of different things. It can mean anything from like market neutral to there are people out there who are running essentially like 100% net long calling themselves long short. And it's really more of an enhanced long portfolio. What does it look like for you? What are your typical nets and how much can that swing around? Because I think it can help us understand. how you feel about the environment. I refer to the fund as long biased, which I count as having sort of more than 50% net exposure. It can obviously be higher than that as well. You know, I think that there's so much money. One of the more sort of common market debates these days is the influence of pod shops and momentum shops or whatever it is. I think there's clearly a lot of money that is market neutral that is relative valuation focused. I think that there's a lot of opportunity in not being constrained in that way.

I like being long bias because markets go up over time capturing beta you don't want to get paid for it but you want to be able to capture it for your

investors. So I think that a long bias model with more duration that is not subject to having to be perfectly factor balanced is a pretty attractive model. I think it's probably always been the case but when you have more and more money that's got to be quarter to quarter that's got to be factor balanced or factor aware or has to deliver at the wrong time, maybe it was July or whatever it may be. I think that the kind of old school longshore model is probably in for a renaissance. I think that there's reasons why it's tough to do that business. People don't want to pay for it. People want either a cheap long only or a high fee market neutral shop. And so I think that creates an opportunity where kind of the old school stock picking can actually outperform.

I alluded to it a little bit. You did very, very well in 2022. So many tech investors got so excited in 2021 and got carried out, rode their names down all the way. Some of them have very publicly come back from the ashes and legendary comebacks and hats off to them. But many people didn't. For every Cliff Saucin who made it out and back, there was somebody else who got carried out. probably times three. And so I'm just interested in like, are you ever going like fully net short? And what is it the environment have to look like for you to get that bearish on tech? And what would you want to see from the current environment to really start to make you concerned? Because despite the uncertainty, you're still pretty bullish on this trend.

It's unlikely I would ever get in that short. I think late 2021 was a once in 10 or 15 year environment where you had basically all the factors of incredible government support, significant retail involvement, clear cyclicality with COVID and pandemic beneficiaries in secular industries. So you had just a lot of reasons to be incrementally bearish. I think that multitude of factors Rarely exists. I think markets move faster now. So it's very possible that we get one more regularly now I think the AI trade eventually has those ingredients, you know huge Huge change in underlying business activity to do this AI and build out a lot of investor enthusiasm People are talking about, you know, obviously curing cancer and and money will be obsolete and and whatever may be and a lot of cyclicality in In an investor base that's used to secular growth. So the ingredients are there I think the things that are most important are number one, basically the lab ARRs. In other words, the adoption, the S-curve, which I don't think there's any crack in there yet.

Number two is the CapEx. There's concerns. It's not going to grow at the rates it has forever, but if it levels off at pretty high rates, a lot of these stocks will do well. And right now it seems like growth is still strong. Capital markets are still tightening, but still provided hundreds of billions of dollars this year for infrastructure.

I'm not worried about the capital market stopping it. And then the third thing that's relevant is the price of compute, basically. And I think that will signal if we're in an overbuild, which would be problematic. So I don't think we're there. I think the ARR is strong. I think the CapEx is strong. And the price of compute, the time it takes to build data centers is not suggesting we're at a glot yet, even though Elon might move that a lot. So those are the things I'm looking at. I don't see it yet. But I do think that if and when this cracks, you know, it would be helpful to have a short selling skill because there's a lot of people in highly cyclical businesses trading peak on peak and even probably some stocks that I own. So there's going to be a lot of pain. I think if this ever rolls over and I just don't think it's yet. The thing that has me most concerned is actually somewhat the AI tools that are available to a lot of investors and the echo chamber and Look, whether it's financial Twitter now X or it was the chat rooms back in the 90s where people were sharing stocks with each other, you now have like a true echo chamber where you're talking to an AI chatbot and there is so much happening at the technology level. And so people are doing a lot of fundamental work, a lot of work trying to understand the.

The differences between these companies and where they sit in the supply chain and it's really easy to have a strong almost feels like bulletproof Fundamental thesis and you can take that and you could put it into an LLM and you could say sense check this and they go You know Jeff that is a really smart thesis But sometimes like the market doesn't really care about that like it feels good the fundamental focus that people have right now But it the market doesn't always care I think you're right. I mean, the amount of AI generated content that I've seen, whether it's, you know, in sell side research or, or sub stacks or even just investor chatter is surprising to me because, you know, the whole job is you got to come up with your own thoughts. And I think that it's very easy to get standard consensus thoughts, but I'm not really sure those are those are of value. And so I think AI is

great for ramping up. It's great for facts and figures. But it's, you know, I agree with you that I can create an echo chamber. I mean, I think there's also a huge behavioral opportunity and fund management. I mean, you just think about, you know, think about how addicted we all are to our phones. Think about how quickly these narratives spin up in politics or stocks or whatever it may be. Think about everyone's attention spans. So I do think that I don't think AI helps with any of that. I think AI probably enables a lot of shortcuts. It enables a lot more confidence. I think that it's gonna create a lot more behavioral inefficiency. I heard on another podcast that somebody was saying, you know, I think that if AI gets advanced, it's basically gonna Remove kind of fear and greed from markets because you know the AIs don't suffer from fear and greed They can be sort of perfectly rational and I basically completely disagree like I think that I think you're gonna get faster narrative cycles I think you're gonna get more crowded narrative cycles. I think that's in addition to the phones and terminally online nature of our society So I think that there's a an emerging behavioral I think markets are probably getting less efficient over time. And I don't think AI really helps with that, actually. I think it might for quantitative models, but I think it's much less likely to lead to inefficiency and more likely to lead to overconfidence. Yeah. You're saying too efficiency. You said not to lead to inefficiency, more likely to lead to inefficiency than efficiency. Yes. Yes. Thanks for catching that. I just wanted to clarify. But to your point about the speed and I mean, it's something that.

Right like the faction you talk about being factor aware and you're like there's a there's an advantage for fund managers You don't have to be overly factor aware But it does seem like it is a requirement to at least know what your factors are that doesn't mean you know You can you can believe it's an advantage for you as a portfolio manager to knowingly take on more factor exposure than somebody whose job it is is to minimize that factor exposure as much as possible But it doesn't mean you can't be unaware of the factor exposures that you have and I think the speed at which things are being bucketed, factorized and ceasing to be idiosyncratic company-level alpha and becoming a bucket or a theme or a trend is happening extremely fast. I mean, how do you, as somebody who likes to underwrite but do bottom-up work, kind of sense check yourself and make sure that you're not letting the strong fundamentals that you're seeing cloud the fact that it's part of a theme

that is extremely hot right now and that means a lot of the money that's coming in is not doing the work that you're doing. I think you certainly have to be aware. I think it's, you know, I've spent a lot more time in the last year or two trying to be aware of factor exposures. It's not even something I was paying attention to probably four years ago. So I don't know if that's just my awareness or the markets are changing. You know, I think it's ultimately a time horizon question and I think it's an LP management question. You know, if there's certainly a, you know, there's a standard in the business that you sort of report monthly results. And monthly results is completely insignificant in the scale of time. Quarters are probably insignificant. And so it's kind of just a noise generator, especially given how much factors move. If you were a software investor, you had LPs saying, what's wrong with your process? Why are we losing so much money? And the reality was it might have been that AI funds were levering up and shorting software and driving negative momentum into your stock.

It was a two month thing and the stocks have round tripped over four months. So I think you have to be factor aware. I think you got to manage your LPs. I think you need to make sure that if you're if you're making factor bets or you have sector bets or whatever that you're very well aware of that and that you're conscious about that. But I also think it creates a longer term opportunity where you can say look clearly momentum is having whatever it is one of its worth five day stretches in 20 years. OK, let's let's take a look at that. One of the things I like to go to is. extremes you know when you have a washout in a sector you have people saying something's uninvestable you have hey this is the largest you know hedge fund shorting day that we've seen in in seven years okay pay attention to that those are the types of signals that I think give a lot more opportunity it seems like a new world I'm sure there's always been parts of that I certainly wasn't paying attention to it as much as I am now so and so you know what did you do obviously we all had to go through that right in July I did doubt there's anybody listening to this podcast who didn't have at least one AI stock in their portfolio that was going down every day, despite really no news about that particular company. I mean, you as a professional investor, when that's happening to you, what are you doing to sort of like sense check your book? Because I don't think July is gonna be the last time in this cycle that something like that is happening and you we're all left, you know

wondering like what why is this happening, right? Yeah, I mean there's kind of a life cycle of at first you think oh this is great my socks down I can buy more and then there's a second where you start to get a little worried and then there's a third where you say okay There's maybe bigger factors at play and that's kind of when I think people started hearing about the margin calls and situation awareness And it made a little more sense an example there is a lot of their pain was concentrated in Asia, especially Korea you saw some notable percentage of the Korean population getting margin calls. Who knows if that's kind of rumor, but you saw a lot of margin calls, a lot of leveraging Korea, huge deleveraging. That's something that perks my ears up. You have huge hedge fund deleveraging, huge retail deleveraging in a secular trend that I actually think is still going pretty well for the basically two large companies in that country. So that's one where once you sort of have all the pieces in place and you can see what's going on, you say, look, I want to be a buyer when people are getting margin called and liquidated. So that's one where maybe I think the picture is improved. But otherwise, it can be hard to suss out whether it's fundamentals or technicals. So I think you have to really see a lot of signals like I think we saw in Korea to say, okay, this is maybe just even from a short-term trading perspective, a much more attractive proposition. And is that the type of thing where you are keeping...

Some level of cash on the sidelines for these events where you're willing to flex up your leverage a little bit when you have that confidence as a portfolio manager like how do you like to maintain the ability to step in when you have that level of confidence? Yeah, I mean, I think I've talked about optionality before but I think optionality is generally one of the most important things when when managing a portfolio and that can be cash that can be lower gross exposure but being able to move such that you're not the one D leveraging or Maxed out when there's an opportunity. I think that's especially more so in these markets where it seems like there's again these sort of three standard deviation events or once in a 20 year event seem to be happening every several months. I like to run with a little bit more flexibility. I like to be able to step in once there's a little more pain. I'd say in general, my time rises a little longer. I'm trying not to trade too much. I'm trying to wait until something hits me in the face. I think we had a little bit of that in July with sort of as I mentioned but it's hard to say and I think that there's a graveyard of folks that try to trade short-term moves so that's why

I'm really trying to see something that's free standard deviations, for standard deviations really stands out to me and then you can move and keeping that optionality open. You know this job it's like we all spend all of our days looking at models and companies and reading and all this stuff but you make your money on one or two good ideas a year a couple big ideas every couple years and so making sure you have the optionality for that I think is more paramount than you know making sure you've got you know great stocks maxed out at all times.

Yeah, I mean, and look at obviously the the ball has come down quite a bit, but I just like pulled up like EWI and socks ball. I mean, they're realizing 73 ball and EWI the one month look back and and socks is 55. You know, they peaked out at like 185. It's like how much leverage do you need for sectors that are realizing that level of volatility? Right, right. Yeah, I'd say in general I've learned that I comparatively I run with very low leverage. I don't realize some of these folks are running with as much. I agree with you because I think leverage is a great way to reduce optionality. I think it's interesting to realize of all, I mean usually one of the most basic indicators you can see for how markets are feeling is just the VIX and you can tell how much people are panicking and paying for protection. This market has been different because there's such dispersion within sectors and even within stocks that You know, the markets are very tranquil. The headline indices are very tranquil. And you're actually seeing these incredible ball spikes in certain sectors or to your point, EWI or SOX, which, you know, it's like a duck kicking below a surface. But if you go below the surface, this year's had a lot of volatility and a lot of rotations and a lot of opportunity to be nimble at extremes. You know, my guess is, frankly, it seems like one of those trends that's going to increase, it seems like there's probably only sort of shorter time horizons, more uncertainty, more money flowing into, you know, less fundamental strategies. So my guess is that that will increase and sort of the behavioral advantages will increase. Well, look, I want to talk about what's coming up next and close out. We've got pretty much with the exception of NVIDIA at the time that we record this, they haven't reported. I'm not going to ask you for any predictions on NVIDIA earnings or anything like that, but we're kind of through the meat of earnings season by and large.

We have a little bit of Fed uncertainty, geopolitical uncertainty that people are concerned about. Obviously, what's happening in the bond market. But what are the factors that you're going to be paying most attention to as we close out 2026? Yeah. I mean, I think we'll get the anthropic S1. Probably it sounds like next week or the week after. I think that's going to be, you know, I don't know that we'll get a ton of new information that we don't really already know. We might get a little more precision, but my guess is. the numbers are broadly leaked. But I think that those companies coming public will be hugely helpful and that we just have metrics that we're not sort of guessing and trying to hear third hand. But I think the most important things are, especially for the AI trade, it's ARR of the labs and open source, some form of adoption of ARR. Number two, it's CapEx, which seems pretty locked to be strong for 27 and people start looking at 28. But I think if anything, people are feeling better about the hyperscalers than they were in the first half. So that seems to be strong.

And then number three is probably the forward prices of compute, which very tight right now, probably tight for a while. I think if you're gonna see an overbuild in data centers, you'll see it there. Those three, I think are broadly strong right now. What will the stocks do? It would not surprise me if we chop around for a while. I think you had a lot of retail enthusiasm, a lot of investor enthusiasm in June. Usually you don't see those things rip back to new highs. I think that we're sort of waiting for the next breakthrough or acceleration. It wouldn't surprise me if we get one. I don't know what it is, but there's recursive self-improvement is kind of floating out there. So we could have some technology breakthroughs that get people excited again, but it would not surprise me if we chop for a bit. But I think having the labs public will help with some of this narrative volatility. So I'm excited for that.

One follow-up question of that before I let you go. Do you think that there will be any sort of like capital vacuum that comes from that? We saw it with space, right? Again, not quite the same fundamental business quality that we're talking about in many of these AI themes that people are investing in where there's already like strong earnings, but you had all these also rands in space. really have the wind taken out of their sales. They had been doing incredibly well. And the second people could buy SpaceX, they sold a lot of

those other space names to go put it into SpaceX. You know, we don't have a pure play lab, right? Like anthropic. Obviously, if you're buying Google, you're getting the whole Google business. If you're buying these semiconductor companies, yes, it's directly tied to to the AI theme, but you don't have really AI.

AI model exposure available on the public markets in a pure play. I mean, do you have any concerns about certain pockets of the AI trade having a SpaceX effect? I think it's possible. I don't have a ton of concern. I think that equity issuance is a huge signal for kind of euphoria and blow off tops. I think it is different when the equity issuance is into kind of more real businesses. Now, I would certainly quibble with the SpaceX valuation, but in general these are these are not dollars going into I'm trying to think of some of the highlights from from SPACs or whatever it is so I think that equity issuance into realistic businesses at realistic prices is less capital sucking than you know we need to put 10 billion dollars into Nikola or whatever we were doing back in 2021 so I think there's some worry you know the space stocks they they sort of they were at they doubled and then got cut in half so they're kind of back to where they were could the AI stocks run up into the anthropic IPO and then come back down for sure But I think that, you know, the euphoria and the optimism and the positioning has kind of cleaned out in the semi-straight. I don't know. That means it's going to rip. But I think that the market's ready to digest, you know, anthropic. And I think it'll want lab exposure. Frankly, I think it's going to trade at a crazy price. You know, I'm not saying I'll buy it. But I think that there's going to be a lot of enthusiasm for it. All right. Well, Jeff, we will leave it right there. Where can people find you out on the internet these days?

I'm on Twitter at Jeff Keller one and then always on email Jeff at Cape Light.co I didn't pay for the dot-com so it's just the dot-co Nobody's paying for the dot-com anymore. All right, Jeff. Thank you so much. We'll do it again soon. Great. Thanks Max. Appreciate it